

And it just plain doesn't work, because the conscious and subconscious human mind is so vast—the stock market, by the way, is just a bunch of minds—that there is no science, no IBM machine, no anything of that sort, that can tame it. What this means to us in practical affairs is that if we are able to do the thing that Americans find very hard to do—that is, understand ourselves (and consequently others) to some degree—we have really a chance of becoming effective stock operators. That is a hard thing and a rare thing.

Now coming down from these theoretical heights, let's look at the so-called technical aspect of markets. I suppose that word is a good one. The technical side of the stock market is an attempt to understand the demand-supply situation in securities as distinct from the fundamental which, of course, is the thing I was telling you about: going to see companies and checking industries and facts. There are a great number of "technical indicators." There is nothing secret about any of them (that are worth using). There is nothing very complicated. You can't get complicated anywhere in this business without being lost; each complication begets ten others, and so on.

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*Operation in securities is not mainly a matter of reasoning at all. The talented operators I know don't really reason things out (although they often pretend to).*

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You have these various tools: We have a number of test tubes that we experiment with and look at—such as the simplest of all, moving averages of stock prices. Take for example, say, a 12-month moving average of [the] Dow Jones Industrial Average. If any one of you people wanted to close your mind to everything else—never mind about all the forecasts—just the moving average, and use a few simple techniques, that moving average would get you into all big bull markets and